


the demand to sustain in the long run, the fundamentals of the economy and growth in income will play a crucial part. Already, the RBI has tightened interest rates post-Covid, and they have gone up to 9.25 per cent from 6.25 per cent in 2020. Maharashtra has withdrawn the stamp duty cut and included a further 1 per cent infrastructure cess, which is likely to have an impact on real estate sales. "Wealth-creation in the mid- to upper-end will be under pressure in the next couple of years, and you will need to develop the lower end. This will not be an endless growth story," says Gulam.

## TRAVEL: GOING PLACES

Not so long ago, 20 years back perhaps, people would at best take two holidays a year—one trip abroad and maybe one domestic destination. The travel scene has now exploded, with short vacation weekends, long weekend getaways, annual leaves and biannual leaves. Hence the trend of micro trips—quick, short getaways—enabling people to take a leisure break a month. Delhi-based Bhavna Kalyani, 40, senior admin at a consulting firm, and Vijay Ganesh, 42, general manager with an e-tailer, and their eight-year-old daughter Tashvi take 1-2 long holidays and 8-10 small breaks every year. "We plan our travel at the beginning of the year when the list of holidays comes out to fully utilise the national holidays and the long weekends in the year," says Bhavna.

Feeling YOLO, people have begun seeking not just a holiday but a whole experience, whether related to local cuisine, community interaction, cultural insights, bucket-list adventures or creative engagements like cookery or pottery lessons. The Covid years were also when safety and hygiene became paramount, leading people to seek premium properties, which followed all safety protocols. And so, specialised trips focusing on health and wellness, wildlife or nature became a thing. "Travellers now are willing to pay a premium for customised travel itineraries that cater to their specific interests and preferences, and we are witnessing a 25 per cent increase in demand for luxury travel from pre-pandemic times," says Daniel D'Souza, president and country head, holidays, SOTC Travel.

MakeMyTrip data shows that the average price for holiday packages in the domestic and international market has increased by 10-15 per cent and 20-25 per cent, respectively. According to co-founder and group CEO Rajesh Magow, this is because people are opting for more 4/ 5-star properties. "Earlier," he says, "almost 30 per cent of the consumers would opt for 3-star properties. This has now increased to 40 per cent. And from 50 per cent who would have bought rooms in 4/ 5-star hotels, growth is now 60 per cent."

So, is premiumisation here to stay? Aspiration can take you only so far; for the trend to endure, you need a sound financial base. Post-Covid, recovery in the Indian economy has been K-shaped. This means urban areas are recovering faster, but growth in rural areas, which constitute a larger share of the market, is slower. This is because, as Sunil Kumar Sinha, director of India Ratings & Research, a Fitch Group Company, points out, "Organised players have taken over the space vacated by the informal sector, which is evident in the increasing EPFO and GST numbers." An analysis by India Ratings & Research shows that wages for corporates, representing top 50 per cent of the income bracket, went up by over 10 per cent in the past two years. However, the lower income bracket, which consists of agricultural rural workers and unskilled workers in urban areas, saw negative or no wage growth. In FY23, minimum wage in urban areas reduced by 0.55 per cent whereas agri income increased hardly by 1 per cent. It is also reflecting in consumption patterns in India. While premium consumer products, as illustrated in the story, are growing in double digits, mass market products are witnessing slow or no growth. What is encouraging is that the fast rise in technology is making products better across segments. Fleeting or long-term, let us welcome premiumisation. YOLO! ■